

F. Estates & Trusts

Wills

When a person dies with a valid will that disposes of his property, he dies *testate*. The term *testate*

derives from the creator of a will. A male who executes a will is referred to as the *testator*; while a female is referred to as the *testatrix*. Each state has its own version of the Statute of Wills. The purposes of the Statute of Wills are to permit individuals to dispose of their assets at death in a clear, orderly manner and to remove fraud and undue influence by others in arranging for that disposition. The Statute of Wills also ensures implementation of the decedent's testamentary intent.

In the Uniform Probate Code, UPC, a *will* is defined as any testamentary instrument, including a codicil, which appoints a personal representative, revokes or revises another will, nominates a guardian, or expressly excludes or limits the right of an individual or class to succeed to property of the decedent passing, by intestate succession.²⁴²

The disposition of real estate by will is a *devise*. However, the conveyance of personal property by will is a *bequest*. Because of the difficulty in distinguishing between real and personal property or because the characteristics of a group of assets may change over time, many estate planners advocate the use of both terms for all testamentary dispositions.²⁴³

In theory, many believe that requiring written terms forces the testator to leave evidence of his desires for the disposing of his estate. The genuineness of a will is determined by the signature of a testator and by the *attestation*. The attestation ceremony is a protective formality, which requires individuals to witness the fact that the testator signed the will voluntarily. When the formalities for the execution of a will are followed, many will contests are eliminated, and probate costs are reduced.

Codicil

In order to amend or modify an existing will, a *codicil* must be executed in the same manner as the original will. Typically, a codicil refers to the date of the original will and ratifies those provisions of the original will which are not specifically revoked, amended, or modified by the codicil. A properly executed codicil becomes a supplement to the original will and is incorporated with the will in the probate process.²⁴⁴

A will is *ambulatory*, or changeable, which means that it disposes of property owned at the date of death without regard to what property was owned when the will was signed. For purposes of interpretation, however, the meaning of the testator's words is determined by the conditions existing when the will was signed. When codicils are executed to update the will, conditions existing when the codicil was signed likewise are taken into account in determining testamentary intent.²⁴⁵

Holographic Wills

A large majority of the states allow for a *holographic will*, a will in the handwriting of and signed by the testator. Although holographic wills must be endorsed, only a handful of states mandate the testator's signature at the end of the document. For the most part, any act performed with the intent of being a signature is sufficient even if it is not legible or not the formal name of the testator. When deemed valid, there is no requirement that holographic wills be witnessed. However, some states do require that a holographic will be dated by the testator.²⁴⁶

Some state statutes require that a will be entirely in the handwriting of the testator. Consequently, some courts have declined to admit documents offered as holographic wills because they were typed or because they contained printed text or printed captions.

²⁴² Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 728

²⁴³ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 728

²⁴⁴ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 729

²⁴⁵ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 729

²⁴⁶ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 729

Nuncupative Wills

Several states allow a nuncupative will for probate purposes. A nuncupative will is an oral will. A nuncupative will permits a person to dispose of limited amounts of personal property, usually up to \$1,000, and it must be made during the testator's last illness. Witnesses must be present, and at least one must be willing to testify in court if requested to do so. Several states require that a testator's wishes be reduced to writing and that the writing be admitted to probate within a specified time.²⁴⁷

Validity of Wills

The formal requirements for executing a will in all states must be known by an *estate planner*. In modern society, a will may be offered for probate in a different state than the state where it was executed. The general rule is that the validity of a will is determined by the law of the *situs* for immovable assets and by the law of the decedent's domicile at death for movable assets. Courts require substantial compliance with statutory formalities to establish the validity of wills.²⁴⁸

Statutory Formalities

Under federal law, any person who is 18 or more years of age and who is of sound mind may make a will. The procedures necessary to execute a will are relatively simple. Although wills must be in writing, they may be in any language and may be written in any form which has some permanency. Over the centuries, the writing materials used for the purpose of wills have been as varied as the imaginations of the writers. Many wills have been handwritten in pencil; some have been written on brown wrapping paper, and a few even have been carved on hard surfaces.²⁴⁹

Witnesses

Typically, two or more witnesses are required for the execution of formal wills. The qualifications necessary to be a witness to a will are the same as the general qualifications for witnesses. A witness must be able to observe, to understand, and to relate what happened when the will was signed. There is no minimum age required to be a witness to a will.²⁵⁰

In accordance with the UPC, at least two individuals must sign a will, each of whom witnessed at least one of the following: the signing of the will; the testator's acknowledgment of the signature; or the testator's acknowledgment of the will. The signing of a will by an interested witness, such as one who is a beneficiary under the will, does not invalidate the will or any of its provisions. Nevertheless, some jurisdictions do require that at least one witness be a person without interests.²⁵¹

In many states, there are statutes that require a witness to be competent; others require a witness to be credible. Notwithstanding statutory phrasing, standards are generally the same as those used to determine competency of the testator at the time the will is executed. If a witness becomes incompetent or dies after the will is executed, the validity of the will is not affected.

²⁴⁷ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 729

²⁴⁸ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 729

²⁴⁹ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 730

²⁵⁰ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 730

²⁵¹ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 730

Testamentary Capacity

Only general guidelines are established to determine a person's mental capacity to make a will because individual intellectual capacity and mental power vary. According to the legal

standard, some of the elements of mental comprehension necessary for testamentary capacity include: the testator must know the nature and extent of his estate; the testator must be able to identify the persons who are the objects of his bounty and his relationship to them; the testator must understand the nature of his act in disposing of his property. A person making a will must have sufficient mind and memory to understand all of these elements and how each relates to the other.²⁵²

A person must have the capacity to make a will at the time the will is executed. In other words, if a testator had capacity at the time a will was signed but later loses his capacity, the validity of the will is not affected. On the other hand, if a testator does not have capacity when the will is made but subsequently acquires capacity, the will is not legally valid. The best bet would be to re-execute a will after capacity has been acquired. This establishes a valid will. A witness may be called upon to testify as to a testator's capacity to make the will, including the testator's age, sanity, and freedom from undue influence. Keep in mind that these facts are often overlooked by witnesses, who simply believe they are only attesting a legal formality of signing a will.

Objects of Bounty

A testator must be able to identify the claims against his property and the names of those who are the natural objects of his bounty, or property. Generally, relatives are the natural objects of a testator's bounty. An understanding of the condition of his property and the persons related to him are important in establishing testamentary capacity. In addition to knowing who his relatives are, a testator should be able to recollect their treatment of him.²⁵³

A testator must not only be able to identify the recipients of his property but to also identify those relatives to whom no disposition will be made. A testator may choose to give his property to some unrelated person or may choose specifically to omit heirs by stating those desires in his will and by identifying those who otherwise might have a claim against his estate.

Grounds for Invalidity

A court proceeding to contest the will must be initiated by any person who disputes a will. The contestant may assert several grounds for contest. Incapacity, fraud, duress, and undue influence are some of the most common grounds for invalidating a will. All matters associated with the drafting and execution of the will must be analyzed closely. Any actions alleged that may invalidate a will must be scrutinized carefully in relation to the specific statutory language.²⁵⁴

Incapacity Litigation regarding incapacity often centers on mental capacity, which may be mental deficiency or mental derangement. The test applied in *mental deficiency* cases is the same as the test applied for testamentary capacity. *Mental derangement* usually relates to insane hallucinations or delusions. In other words, when a testator imagines facts to exist against all evidence to the contrary, he may be mentally deranged. However, simply having

irrational beliefs does not make a will invalid on grounds of mental derangement if said beliefs do not affect the will.

252 Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 731

253 Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 732

254 Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 732

Fraud When false statements are knowingly made by an heir or a beneficiary with the intent to deceive the testator, causing the testator to change his will in reliance upon the statements, this is *fraud*. Generally, there are two types of fraud: fraud in the execution, also called *fraud in the factum*; and fraud in the inducement.

When a will is executed by a testator who believes it to be something other than a will or when the contents of the will are withheld, *fraud in the execution* has occurred. When a testator is deceived about the contents of his will, the fact that he had an opportunity to read the will does not make the will valid if, in fact, he did not read it. Death-bed wills sometimes result from fraud in the execution because the testator may no longer have the physical or mental strength to comprehend the contents of the will. When unusual dispositions are made to persons with influence over the testator at the time of his last illness, fraud in the execution is likely.

When a testator has a genuine intent to create a will, but the intent is induced by false statements of a beneficiary under a will, *fraud in the inducement* has occurred. When inducement or deceit unjustly enriches a beneficiary, a will may be invalidated. Specific knowledge by a beneficiary that a statement is false, together with intent to deceive a testator, is essential to prove fraud. For example, if false statements are made to a testator by one of his daughters that another of his daughters is immoral and if the testator makes a new will disinheriting the allegedly immoral daughter, the will may be invalid if the testator

was induced to make the will because he believed the statements and if the person making the statements benefited from the new will.²⁵⁵

Duress The exercise of force over the testator which diminishes his free will and causes him to create a will that he would not have otherwise made falls into the category of duress and invalidates a will. The use of threats or violence toward the testator or toward his family to induce him to create a will is *duress*. Duress often exists in conjunction with undue influence.

Revocation of Wills

One main vital characteristic of a will is its revocability. A will conveys no present interest in the property devised or bequeathed. In other words, the ownership of property remains with the maker of the will until he dies. A will may be revoked in whole or in part by the testator at any time by creating another will that specifically revokes all prior wills, by writing the word “revoked” across the original will and initialing it, or by destroying the original will

A testator may burn, tear, cancel, mutilate, obliterate, or destroy a will with the intent to revoke it, or he may direct another person to do so in his presence. Some statutes enumerate that revocation of a will also revokes codicils related to it. Most litigation arises when the testator’s intent is unclear. If a will has been singed or burnt only along the edges or if only the first page of a will has been cross-marked, the status of the will may be deemed unclear.

A court may declare a will revoked by operation of law under special circumstances. Under the UPC, the provisions of a will are revoked for a spouse when there is a later divorce or annulment. In such as case, the estate is distributed as if the former spouse predeceased the testator.²⁵⁶

²⁵⁵ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 733

²⁵⁶ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 735

In several states, a will is considered revoked when a will has been executed before marriage and the subsequent birth of children; however, a marriage alone usually does not revoke a will because a spouse has other protections. A will may also be revoked by a subsequent will or codicil.

Intestacy

Intestate refers to an individual who dies without a valid will, and his estate is distributed to his heirs according to the laws of intestate succession. If a decedent owns real estate in more than one state, different intestacy statutes may apply to the same estate. In order to transfer real property located in other states to a decedent's heirs, a separate court proceeding referred to as an *ancillary administration* is required to appoint a personal representative to execute the deeds of distribution. Generally, personal property is distributed according to the laws of the state where the decedent was domiciled. However, a court may, occasionally, assert jurisdiction over personal property which was kept in that state's jurisdiction even though the decedent was domiciled elsewhere.²⁵⁷

Similar to the Canons of Descent under the English common law, intestacy statutes provide for progressive distribution until there is a taker. The terms *descent* and *distribution* comes from the Canons of Descent. The term *descent* originally pertained only to realty; the term *distribution* pertained only to personalty. Over time, the distinction between realty and personalty has become blurred or has been eliminated.²⁵⁸

A *descendant* is an offspring of the decedent, a person who has descended from the body of the ancestor. Sometimes, descendants are classified as *lineal descendants*, those in a direct line of descent from the decedent; and *collateral descendants*, those who are not direct descendants of the decedent, but who share a common ancestor. An *ascendant* is a person to whom the decedent is related as a direct descendant, such as a father, grandfather, great-grandfather, and so on.

Heirs

A person entitled to receive the decedent's property as determined by the statutes of intestate succession is referred to as an *heir*. The intestacy provisions within the UPC require that an heir survive the decedent by 120 hours to be eligible for inheritance. An individual may be named as an heir in an estate without receiving any property at all if the decedent died without a will but provided for transfer of his assets through joint tenancy, gifts, trusts, or insurance designations.²⁵⁹

Adopted Persons

Statutes create the right of an adopted person to inherit as an heir. Many statutes treat the adopted person as if he had been born into the adoptive family, allowing him to

inherit through as well as from his adoptive parents. Statutes vary from state to state concerning whether inheritance is permitted *from* as well as *by* an adopted person and concerning the adoptee's status with respect to both his natural relatives and his adoptive relatives.

Persons Born Out of Wedlock

Statutes also differ from state to state concerning the inheritance rights of persons born out of wedlock. A child born out of wedlock clearly inherits as an heir from the mother in all states. However,

257 Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 735

258 Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 736

259 Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 737

unless there is a subsequent marriage between the mother and the father or unless the father acknowledges paternity, most jurisdictions do not permit the child to inherit from the father.

Escheat

If a person dies both intestate and without surviving heirs, the entire estate will *escheat*, or pass, to the state. Also, if a person dies testate and all of his beneficiaries and heirs are deceased, his estate will escheat to the state. Most statutes provide that the state must hold the assets for a period of time and that a diligent search must be conducted to locate heirs. If no heirs are found within the statutory time, the estate becomes the property of the state.²⁶⁰

Probate

A decedent's estate must go through a liquidation and distribution process to convey legal title to the decedent's heirs or beneficiaries, regardless as to whether he died testate or intestate. The *purposes of probate* proceedings are to determine the validity of the will, to collect and preserve the assets of the decedent, to pay from the estate all expenses and outstanding debts of the decedent, and to distribute the remaining assets to those who are entitled to receive them.²⁶¹

The formal probate proceedings to administer an estate under the continuing supervision of the court are *in rem proceedings*. Actions which may affect administration of an estate, but which are not part of the administration itself are *in personam proceedings*. A typical *in personam* proceeding will include:

- 1.) actions concerning the elective share of the surviving spouse
- 2.) actions by the personal representative against a debtor of the estate
- 3.) actions against the estate by a creditor of the estate.

An existing will must be located as quickly as possible to prevent its loss or destruction. If the will is in the possession of someone who is unwilling to relinquish it, legal proceedings may be initiated to compel production of the will. Once a will is located, it should be filed with a probate court. The probate court will appoint a personal representative and the decedent's estate is administered according to the testator's intent, or probated.²⁶²

Estate Planning

An estate is an interest in property, an asset. A person's estate consists of his total real and personal property interests while living and after death. The process of preserving an individual's assets is called *estate planning*. Estate planning involves meeting the financial lifetime needs of an individual and maximizing the value of assets transferred at death by minimizing estate and death taxes.²⁶³

The value of the gross estate is determined by the total assets an individual owns, regardless as to whether the assets are classified as probate or non-probate property. Ownership is the key factor in determining whether an asset is part of a gross estate. If an individual exercises control over an asset, that

260 Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 739

261 Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 739

262 Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 739

263 Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 707

asset is part of the gross estate. Estate planners must be familiar with the range of devices used to facilitate an individual's estate planning needs and objectives. The most common of these devices include ownership options for property, gifts of property during life, life insurance, retirement plans, trusts, and wills. Estate and gift tax laws are major factors in any estate plan.

Tax Legislation Overview

In order to understand the present estate and gift tax laws, it may be helpful to know something about their evolution. Over the past decade, Congress has made many changes in estate and gift tax legislation, requiring both ability and patience in estate planners.

The Revenue Act of 1916, which formed the basic framework of our modern federal estate tax, applied a graduated tax rate schedule to a decedent's taxable estate, which was defined as the total property a decedent owned less deduction, including debts, expenses and losses of the estate. Opponents of the tax appealed to the United States Supreme Court, arguing that it was an infringement on the States' right to regulate the process of transferring property at death. However, the constitutionality of the tax was upheld.²⁶⁴

The most comprehensive tax modifications came with the passage of the Tax Reform Act of 1976, TRA-76. The changes included a larger marital deduction, a new unified credit system combining estate and gift tax, an orphan's deduction, special valuation guidelines for farmland and closely held business realty, replacement of the stepped-up income basis at death with a carryover basis, and liberalization of extensions for payment of tax.

The Economic Recovery Tax Act of 1981, ERTA, included among other things: an unlimited marital deduction, the introduction of *qualified terminable interest property*, QTIP; an increase to

\$10,000 for the annual gift tax exclusion; an increase in the unified credit; a reduction in the upper rate brackets; the repeal of the orphan's deduction. The estate tax exclusion for qualified plan benefits, such as Keogh plan benefits, IRA plan benefits, and certain annuities, was reduced to \$100,000 under the Tax Equity and Fiscal Responsibility Act of 1982, TEFRA.²⁶⁵

Under the Tax Reform Act of 1984, also known as the Deficit Reduction Act of 1984, DEFRA, the alternate valuation of assets reported on the estate tax return was restricted, the \$100,000 estate tax exclusion for retirement plans was eliminated, installment payments of estate tax were slightly liberalized, and procedures for reforming charitable trusts were established. The Omnibus Budget Reconciliation Act of 1987, OBRA, imposed a five percent surtax on taxable estates in excess of ten million dollars and added I.R.C. § 2036(c) to eliminate estate *freeze* techniques. This surtax was imposed on the decedents' estates coming into existence after 1987.²⁶⁶

The enactment of the Economic Growth and Tax Relief Reconciliation Act of 2001 further provided sweeping changes to the unified credit. This act revised the timetable for increasing the estate tax threshold, or *credit*. The filing exemption was increased to one million dollars for decedents dying after December 31, 2001. The act further provided that the exemption would increase periodically after 2001, eventually reaching \$3.5 million in 2009.²⁶⁷

²⁶⁴ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 708

²⁶⁵ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 709

²⁶⁶ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 709

²⁶⁷ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 710

For those dying on or after January 1, 2010, the act repeals the provision for estate tax and generation-skipping transfer tax. However, to further complicate matters, in 2011 and beyond, the estate tax exclusion reverts back to one million dollars. The 2001 Act also changed the tax treatment of unrealized capital gains in a decedent's portfolio. Under current law, the basis of estate assets is changed to the date of death value, which is received by the beneficiaries. This new law allows each beneficiary to add up to \$1.3 million to the decedent's basis for the purpose of calculating capital gain tax liability on inherited property. In addition, state death taxes paid to any state or to the District of Columbia were reduced gradually beginning 2002 and eventually repealed on December 31, 2004. This is referred to as *decoupling* from the federal estate tax tables. Also, the lifetime gift tax exemption was set at one million dollars for gifts made after December 31, 2001.²⁶⁸

Property Ownership

Property ownership is a method used by estate planners to maximize the value of an individual's estate during life and to maximize assets transferable at death to heirs or beneficiaries. Property is classified either as probate or as nonprobate based upon the legal characteristics attached to its ownership.²⁶⁹

Probate Property

Property owned solely by the decedent is probate property. These assets are subject to the jurisdiction of the probate court and are distributed either according to the laws of intestacy or according to the terms of the decedent's will. Probate proceedings are necessary to transfer ownership of probate assets to the decedent's heirs or beneficiaries.

The key element in determining whether an asset is probate property is the title of ownership. If the decedent owns real estate, stocks, bonds, bank or savings accounts, leases, mortgages, promissory notes, real estate, automobiles, and other property in his name alone, it is probate property. If the decedent owns life insurance and designates his estate as the beneficiary, the policy proceeds are probate property and are distributed under the decedent's will or under intestacy statutes.²⁷⁰

If an individual owns property with one or more other persons or entities, the ownership interest is a *tenancy in common*. As a tenant in common, each owner holds an undivided interest in the property, which can be sold, transferred, or devised separately from the interests of the other owners without destroying the tenancy of the property. Each individual's undivided fractional share is classified as probate property. The value of a deceased owner's fractional share is included in the probate inventory.

Mandated by law in some states, *community property* means that all property acquired during a marriage automatically is marital property and is owned equally by each spouse. Each spouse has an undivided right to one-half the property acquired by the other spouse during the marriage. Each spouse has complete control over his half. From this standpoint, community property is similar to a tenancy in common and is classified as probate property.²⁷¹

²⁶⁸ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 710

²⁶⁹ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 711

²⁷⁰ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 712

²⁷¹ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 712

Life Insurance

A life insurance policy payable to a beneficiary other than the decedent's estate is a non-probate asset and is included in the decedent's gross estate, provided the decedent was the policy owner at his death. For example, Larry purchased a \$500,000 life insurance policy

from Liberty Mutual Life Insurance Company. Larry was the owner and insured under the policy. The primary beneficiary was Ann, Larry's spouse. When Larry died five years later, Ann received \$500,000 from the insurance company. On Larry's federal estate tax return, the policy was reported on Schedule D as an asset owned by Larry. However, the insurance proceeds were not included in Larry's probate estate, because the insurance policy named a beneficiary other than Larry's estate.²⁷²

If the insured is *not* the owner of the life insurance policy, the insurance proceeds are *not* included in the decedent's gross estate. For example, a husband may own life insurance policies insuring his wife, and vice versa. In this event, a husband controls the policy insuring his wife and designates a beneficiary, which will likely be himself or a trust created by him. If the wife dies first, the insurance proceeds are paid directly to the owner/husband or to his trust. Because the wife does not own the policy at her death, the proceeds are not included in her gross estate.

As a part of an estate plan, a married couple may want to consider a *survivor life insurance policy*, sometimes called a second-to-die policy. This is a single policy insuring a married couple simultaneously. It costs less than two separate whole life policies because it pays only upon the second death. With the unlimited marital deduction, often no estate tax is due at the death of the first spouse. As a consequence, when the surviving spouse dies, his estate stands the full burden of the estate tax and related expenses. A survivor life insurance policy provides the funds to meet these expenses.

Retirement Plans

A qualified retirement plan may be a pension plan, a profit-sharing plan, or an annuity plan. Other retirement programs may include: 401(k) plans; a Keogh plan; an employee stock ownership plan, ESOP; and an individual retirement account, IRA. The following material is not an in-depth discussion of retirement plans but, rather, provides definitions of the various plans for review purposes. If there are benefits remaining to be paid at death, the value of the retirement plan is included in the decedent's gross estate for estate tax purposes. Income tax treatment of retirement plans must be scrutinized closely for proper reporting.²⁷³

A qualified *pension plan* must be established and maintained by the employer, the benefits of which are definitely determinable and systematically paid to a retired employee for a specific period of years, usually for life. Benefits are determined by the employee's rate of compensation and by his length of service with the company.

A *profit-sharing plan* is a defined contribution plan to which the employer may make discretionary contributions. Under most plans, employees may make discretionary contributions also. If a profit-sharing plan uses a trust, the trustee requirements must be met. The IRS requires a profit-sharing plan to be a written instrument to be recognized for tax purposes.

A qualified *annuity plan* can use contributions to buy retirement annuity contracts from insurance companies. For the annuity to be effective, a contract must be signed by the annuitant and issued by the

272 Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 714

273 Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 716

insurance company. Most annuity plans provide a menu of payout options from which the annuitant may select. Again, the key to determine if any annuity benefits are included in an estate is whether any benefits remain to be paid at death.

Under *401(k) plans*, an individual contributes pre-tax dollars up to a specific limit, which are tax free at the time of contribution. When benefits are eventually paid, the recipient pays income tax in the year the benefits are received. Upon death, beneficiary designations determine who is to receive any remaining benefits, all of which remaining benefits are included in the gross estate.

A *Keogh plan* is a self-employment retirement plan, which is a written program created for the benefit of employees. These self-employment plans can be created only by an employer, who typically is an employee as well. Partnerships or proprietorships are eligible for self-employment plans. If a self-employed individual has more than one trade or business that earns income in any tax year, each business is considered separately for purposes of contributing to a plan. The value of the plan at the decedent's death is included in the gross estate for federal estate tax purposes.

An *employee stock ownership plan*, ESOP, is a defined contribution plan which invests primarily in the company's securities. These plans are available only to employees of a company offering such a plan. Purchase of securities usually is done through a stock bonus plan or through a money purchase plan created by the employer. To determine the stock's value for federal estate tax purposes, the corporation's accountant typically will be involved.

Individuals may contribute a specific amount each year until age 70½ to a traditional *individual retirement account*, IRA. Contributions are deductible except by active participants in qualified retirement plans with an adjusted gross income above certain levels. Additional contributions may be made to a spousal IRA for a spouse who does not work outside the home. After an individual reaches age 70½, a minimum distribution must be paid to the participant at least annually. The percentage of the required minimum distribution is determined by the IRS.

Trusts

A trust is an estate planning device which permits one person to hold legal title to assets while the equitable title rests with the beneficiaries of the trust. Equitable title may be granted in different proportions to the trust beneficiaries. Trusts are major tools in family estate planning because of tax considerations and the management benefits. Trusts originally were used to minimize death taxes and probate expenses on assets transferred from generation to generation. Although this is still a consideration, it is not the sole motivation to create a trust.²⁷⁴

An individual may create a trust to ensure that assets are protected for the beneficiaries. For example, if a parent dies with minor children surviving him, a trustee provides not only the management skills necessary to maintain the principal of the trust, but he is also responsible for making distributions for the health, education, maintenance, and support of the beneficiaries. If a parent dies owning a small business, minor beneficiaries will not have the ability, experience, or training necessary to continue the business operation.²⁷⁵

²⁷⁴ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 718

²⁷⁵ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 719

An individual may also establish a trust for his own benefit. It is common for individuals to establish trusts while they are capable of managing their own affairs so that if they become incompetent, trust administration can continue. Other non-tax reasons to create a trust include:

1. lack of confidence in a beneficiary's ability to manage property
2. preservation of property for a spendthrift beneficiary during life
3. assurance of family income
4. protection of a disabled family member
5. desire to *rule from the grave*
6. avoidance of publicity and probate

Sprinkle Trust

A *sprinkle trust*, also called a *spray trust*, is a discretionary trust. Its purpose is to provide the trustee with uncontrolled discretion to distribute as much income or principal to a beneficiary for care and education as the trustee thinks best. The trustee becomes the parent substitute for children who are beneficiaries. If there is a surviving parent, the trustee typically will rely upon the parent's suggestions for distributing funds among the beneficiaries. However, when there is no surviving parent, the trustee is extremely cautious about making uneven distributions to beneficiaries. Some advantages provided by a sprinkling trusts include:

1. It provides spendthrift protection, since the beneficiaries do not have any right to income until it is allocated to them.
2. Estate tax savings are achieved when the spouse is also a beneficiary and receives only needed income rather than unnecessary increases in the value of the spouse's estate.
3. Savings on family income tax are achieved when income is distributed to a low-bracket beneficiary.
4. Funds are allocated among beneficiaries according to need.

The disadvantage of a sprinkling trust is that it places complete control in the hands of the trustee.²⁷⁶

Spendthrift Trust

A spendthrift provision in a trust allows a grantor to transfer assets for the benefit of a beneficiary and to protect those assets from creditors. The beneficiary cannot transfer his right to any future distributions, and his creditors cannot attach a claim to any future distribution. Protection against creditors depends upon the amount of discretion granted to the trustee. If the beneficiary receives income or principal at the complete discretion of the trustee, the trust is more creditor-proof. Spendthrift provisions are placed in trusts not only to address the problem of minors mismanaging money but also to assist adults who lack the capacity to manage money and assets prudently.²⁷⁷

²⁷⁶ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 724

²⁷⁷ Virginia K. Newman, J.D., *Paralegal Review Manual*, p. 725

The protection offered by a spendthrift trust is not ironclad. Not all states limit a creditors' reach on the assets to the same extent; there have been cases when the trustee has been forced to make discretionary distributions to a beneficiary. In addition, spendthrift provisions are not effective against a federal tax lien.

A. Estate Planning- Estate Planning is the process of determining how a person wants their assets to be distributed at their death, as well as how a person wants to be cared for when they reach their retirement stage and their "end of life" stage. Estate planning can include preparing a Last Will and Testament, trust documents, powers of attorney, medical directives and a living will. Some individuals have all of these documents in their estate plan, some only have a few, and some have no estate plan at all.

- a. Wills

- b. Powers of Attorney

- c. Living Wills

- d. Trusts

- i. Inter vivos

- 1. Revocable

- 2. Irrevocable

- ii. Testamentary

- B. Estate Administration

- a. Probate Process

- b. Intestate Succession